

Multiple Choice (10 marks)

1. Which of the following causes the supply curve of paper to shift to the left?
 - (a) Paper producers expect lower paper prices in the months ahead.
 - (b) The price of pencils, a complement to paper, increases.
 - (c) Improvements in the technology used to produce paper.
 - (d) Environmental concerns reduce the yearly amount of timber that can be harvested.
2. Which of the following statements is true?
 - (a) The velocity of money is equal to real GDP divided by the money supply.
 - (b) Dollars earned today have more purchasing power than dollars earned a year from today.
 - (c) The supply of loanable funds consists of investors.
 - (d) The demand for loanable funds consists of savers.
3. The total utility from sardines is maximized when they are purchased until
 - (a) marginal utility is zero
 - (b) marginal benefit equals marginal cost
 - (c) consumer surplus is zero
 - (d) distributive efficiency is achieved
4. Which of the following insures the value of the U.S. dollar?
 - (a) The euro and other foreign currencies held by the Federal Reserve
 - (b) Gold bars in secure locations like Fort Knox
 - (c) The promise of the U.S. government to maintain its value
 - (d) The value of the actual paper on which it is printed.
5. Which of the following is more likely to result from a competitive market structure than from a monopoly making the same product?
 - (a) Price equal to marginal cost
 - (b) Relative welfare loss
 - (c) Relatively high price
 - (d) Relatively low quantity

True / False (10 marks)

Answer True or False

6. True or False: Expansionary monetary policy is intended to decrease aggregate demand, causing real prices to fall and benefiting the economy.
7. True or False: The economic growth from 1990 to 2000, based on real GDP per capita, was 50 percent.
8. True or False: Economic costs are calculated by adding explicit costs and implicit costs together.
9. True or False: Increasing government spending while keeping taxes the same will lead to a greater decrease in real GDP.
10. True or False: The volunteer fire department in your community is an example of a public good that benefits everyone.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a government can determine the socially optimal price for a natural monopoly, focusing on the relationship between marginal cost and demand.
12. Discuss how government spending can influence real gross domestic product when an economy is operating below full employment, and analyze the potential effects on overall economic growth.

End of Paper